Table of Contents

Executive Summary **2**
Introduction and Approach **2**
Question 1: Deciding the Overall Strategy and Translating It into Operations **4**
1.1 How the strategy was decided 4
1.2 How the strategy became operational decisions 4
Question 2: Impact of the External and Competitive Environment **5**
2.1 Lessons from the environment 6
Question 3: Enhancing Employee and Customer Satisfaction **7**
3.1 Employee satisfaction 7
3.2 Customer satisfaction 8
Question 4: How Results and Feedback Shaped Later Decisions **8**
4.1 Within a run: year-to-year adjustment 9
4.2 Between runs: experiments 9
Question 5: How KPIs and the Income Statement Support Decisions **10**
5.1 Three examples 11
Question 6: Adapting Strategy to Different Locations **11**
6.1 Five Forces: why the locations differed 13
Question 7: Considerations in Coffee Roasting (Vertical Integration) **14**
7.1 Considerations 14
7.2 Was roasting a sustainable advantage? A VRIO test 15
Question 8: Considerations in Choosing Organic or Fair Trade Coffee **16**
8.1 Considerations 17
8.2 Evidence 17
Question 9: The Appropriate Pace of New Store Openings in Level 3 ..... **17**
9.1 The economics of each type of store 18
9.2 Evidence from the runs 18
9.3 Recommended pacing rule 19
Conclusion and Reflection **20**
Conclusion 20
What the simulation demonstrated 20
Reflection: where my judgement was wrong 20
What I would do differently, and what it means for real management 21
Limitations 21
References **22**
Appendix A. Results of All 15 Runs **23**
Appendix B. The 14 Controlled Comparisons **23**
Appendix C. Strategy Poster **24**

Executive Summary

This report answers the nine assignment questions for the Business Essentials Simulation: Coffee Shop Inc. I played all three levels five times each (15 runs). Fourteen of the 15 runs beat their five-year profit target. My best results were $757,947 in Level 1 (152% of the $500,000 target), $963,581 in Level 2 (193% of $500,000) and $12,501,031 in Level 3 (250% of $5,000,000).

My strategy throughout was differentiation: a quality coffee experience at a moderate price premium, delivered by well-paid, well-trained staff. From Level 2 I added a "people, planet and profit" intent (Elkington, 1997). Because the game returns the same result for the same decisions, I used later runs as controlled experiments, changing one decision at a time. This let me measure what each choice was worth rather than guess.

Three findings run through the report. First, location set the ceiling on profit: the City Centre earned $246,125 more than the University Campus over five years. Second, differentiation paid only where customers valued it: roasting our own beans added $583,995 in Mature Markets but cost $157,785 in Emerging Markets. Third, in Level 3 the right pace of growth was the fastest the game allowed, as early as possible: opening Emerging Market stores faster added $952,776 even though profit trailed for two years first.

Level	Best run	Five-year operating profit	Target	% of target
1 · Starting up	Run 5 (City Centre)	$757,947	$500,000	152%
2 · Building your brand	Run 4 (City, roast + organic)	$963,581	$500,000	193%
3 · Going international	Run 5 (Mature roasting, 12 Emerging stores)	$12,501,031	$5,000,000	250%

Introduction and Approach

Coffee Shop Inc. asks players to run a coffee business for five years at each of three levels. Level 1 is a single store, Level 2 adds staffing, in-house roasting and choice of coffee beans, and Level 3 builds an international chain of owned and franchised stores in Mature and Emerging Markets (Sim Institute, n.d.-b). Each year the game reports news, competitor benchmarks, written feedback, key performance indicators (KPIs) and an income statement.

I treated the five runs at each level as a learning programme rather than five separate attempts. Run 1 was a full attempt based on my reading of the market. Each later run changed one

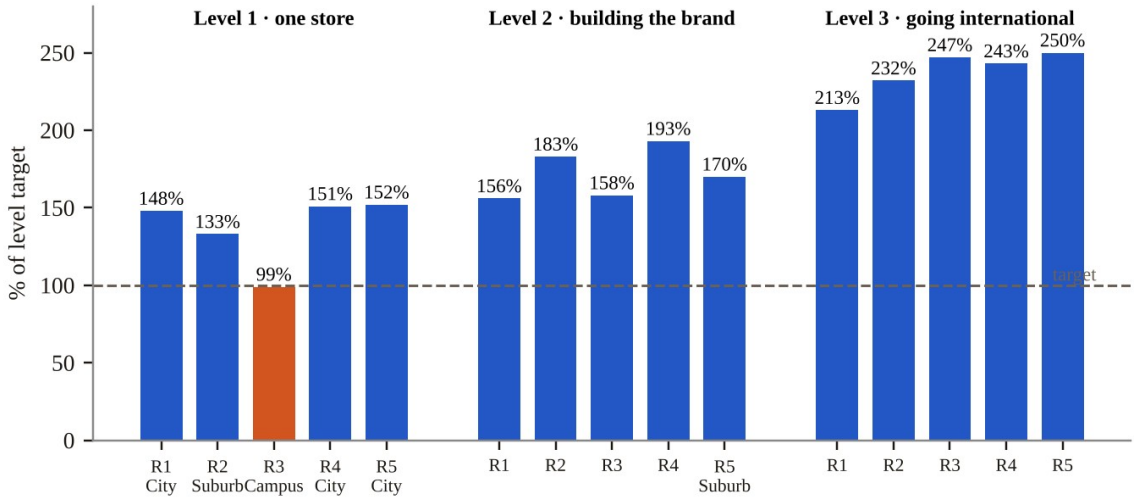
decision against an earlier run while keeping everything else identical. Because the simulation is deterministic, the difference in profit between two such runs is the exact effect of that decision in this game, not an estimate. The exception is the location comparisons (E1–E3 and E10), whose runs also differ slightly in pay, training or promotion, so they are good rather than perfectly clean tests. Table 1 lists the runs; Appendix A gives the full results, Appendix B the 14 controlled comparisons, and Appendix C a one-page strategy poster that summarises the findings.

An interactive companion website presents the same evidence, including a step-by-step replay of Level 3 and a people–planet–profit scorecard (QR code in Appendix C): https://shab-analytics.github.io/coffee-strategy-dashboard/

Table 1. The 15 runs and what each one tested

Run	Level 1 (one store)	Level 2 (building the brand)	Level 3 (going international)
1	City Centre, premium + evenings: $740,214	City baseline, buy roasted, ordinary beans: $779,616	Roast in Emerging; 2 Emerging own stores: $10,637,554
2	Suburb (location test): $662,589	Roast own beans: $913,665	Faster Emerging openings (11 stores): $11,590,330
3	University Campus, cost focus: $494,089	Roast + one extra job kept: $790,871	Roasting moved to Mature: $12,332,111
4	City, $1,000 pay lead in Years 4–5: $754,573	Roast + organic beans: $963,581	Roasting in both markets: $12,174,325
5	City, training and promotion tests: $757,947	Roast + organic in the Suburb: $847,836	Third Emerging store in Year 1: $12,501,031

Figure 1. Five-year profit as a percentage of target, all 15 runs in the order played



Source: my Coffee Shop Inc. result screens (Sim Institute, n.d.-a), compiled in my run logs. Level 1 and 2 targets were $500,000; Level 3 was $5,000,000.

Figure 1 shows the learning curve. The only miss was the Campus run, which tested a low-price strategy in a small, price-sensitive market. Each level ended at or near its best result, because each run kept what the previous tests had shown to work.

Question 1: Deciding the Overall Strategy and Translating It into Operations

Direct answer. I chose a differentiation strategy aimed at customers willing to pay a little more for good coffee, good service and a place to meet, and I made every operational decision support that position.

1.1 How the strategy was decided

I based the choice on three inputs the game provides. The location descriptions showed that City Centre customers are "professionals and shoppers willing to spend", Suburb customers want atmosphere, good coffee and personal service, and Campus customers are budget-conscious students. The Year 1 news described a strong economy, confident consumers and evening meet-ups in the City Centre. The competitor benchmarks showed an average price of $3.00 and salaries of $24,000.

Taken together, this pointed to broad differentiation in the City Centre: competing on quality and experience rather than on price (Porter, 1985; Gamble et al., 2015, ch. 5). A low-cost position would have meant fighting established chains on their own terms. I tested that judgement directly in Level 1 by playing the Suburb (focused differentiation) and the Campus (focused cost leadership) under identical news. The City Centre earned the most and the Campus missed its target (Question 6), which supported the original choice.

From Level 2, I added an explicit triple-bottom-line intent: people, planet and profit (Elkington, 1997). This shaped the experiments on extra jobs, organic beans and roasting.

1.2 How the strategy became operational decisions

The game's second learning objective is that a strategy succeeds only when operational decisions are consistent with it. Table 2 shows how each strategic element was turned into a decision.

Table 2. From strategy to operational decisions

Strategic element	Operational decision	Evidence it worked
Serve customers who value quality and a place to meet	City Centre location; open day and evening when evening demand existed	Evenings added about $139,000 over four years in Level 1 Run 1
Moderate price premium	$3.50–$4.00, about 7–17% above the market average; price parity during the Year 4 recession	Premium held volume in good years; parity in the recession raised customer satisfaction to 5 stars
Service through motivated staff	Salary $1,000–$2,000 above competitors; training $1,500 vs competitors' $1,000	Employees rated 5 stars in every year I recorded
Visibility	Promotion $10,000 (competitors $8,000)	Spending above $10,000 added no sales (Question 4)
Product differentiation (Level 2)	Roast own beans; organic beans	+$134,049 and +$49,916 over five years
Planet (Levels 2–3)	Organic (Level 2); Fair Trade + organic in Mature Markets (Level 3)	Profitable as well as responsible (Question 8)
Growth (Level 3)	Maximum franchises and own stores; premium in Mature, market pricing in Emerging	$12.5m, 250% of target

The positioning was not identical everywhere. In Level 3, Mature Market customers were aware of organic and Fair Trade coffee and could pay a premium, so I sold Fair Trade + organic coffee at $3.50–$4.00. In Emerging Markets the news said bean type was not important, so I sold ordinary beans at the market price ($2.00 rising to $3.00) and competed on availability and service instead. This is the same strategy adapted to each customer group, which Question 6 discusses further.

Question 2: Impact of the External and Competitive Environment

Direct answer. The yearly news, read as a PESTLE analysis, changed my pricing, opening hours, wages, bean choice and promotion every year. The most important responses were matching rivals' prices in the recession and raising them in the recovery.

The game publishes Political, Economic, Social, Technological, Legal and Environmental developments each year on its News page, together with a competition section (Sim Institute, n.d.-a). Table 3 summarises the main developments in Level 1 and how I responded. The news was identical in every run at a level, which made it possible to compare decisions fairly.

Table 3. Environmental developments and my responses (Level 1, City Centre)

Year	Main developments (PESTLE and competition)	My response	Result
1	Strong economy, confident consumers; evening meet-ups in the City Centre; cup cost $0.50; rivals $3.00	Opened day and evening; price $3.50; salary $26,000 vs $24,000	Profit $138,115; staff 5 stars, customers 4
2	Tariffs raise cup cost to $0.60; staff shortages, rival salary $25,000; regeneration works disrupt the centre at night; rivals raise prices	Price $3.75; salary $27,000; closed evenings	Profit fell to $80,084
3	Economy slowing; night festival and evening classes; suburb violence moves evening trade to the centre	Reopened evenings; cut premium to 7% ($3.75 vs $3.50)	Profit $169,992; 116 evening drinks a night
4	Recession, rising unemployment, customers less willing to pay; rivals discount	Price parity $3.50; promotion $15,000	Customers 5 stars; drinks +6.7% to 477 a day
5	Recovery; customers split into upmarket and budget; rivals raise prices	Price $4.00 (+6.7%)	Volume −5.5% but profit up to $193,806

2.1 Lessons from the environment

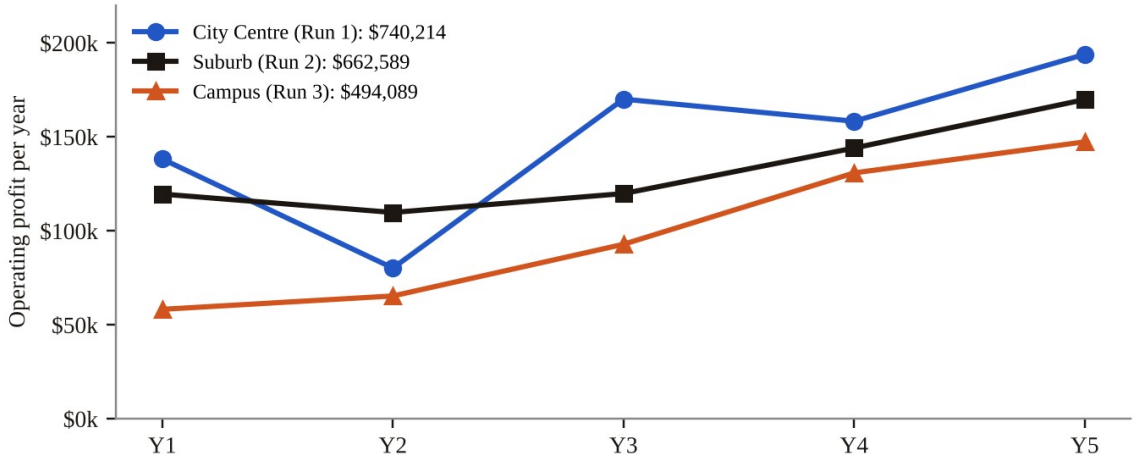
- **Economic cycle and price.** In the Year 4 recession, matching the market price raised volume: Level 1 drinks rose from 447 to 477 a day and Level 3 Mature Market drinks per store rose 6.5% (309 to 329). In the Year 5 recovery, demand was price-inelastic: raising the Mature price 14.3% cost only 5.2% of volume, and a 20% rise in Emerging Markets cost 4.7%. A controlled test in Level 1 Run 5 confirmed that the Year 4 jump came from the price cut, not from promotion. A price below rivals was never tested, so the evidence supports matching competitors, not undercutting them.
- **Political and legal.** Tariffs pushed the cost per drink from $0.50 to $0.60 in Year 2. Because the cost rose for all competitors, I passed it on through price rather than cutting quality.
- **Social.** Evening demand depended on social news. I closed evenings during the Year 2 construction and reopened in Year 3 once the festival and the suburb safety problem brought people into the centre at night. With hindsight, the closure was costly: in Level 2, where the construction news did not appear, keeping evenings open earned $15,325 more in Year 2. Construction may have reduced evening demand in Level 1, so this is an upper estimate of the loss.
- **Environmental and ethical awareness.** In Level 2, news of growing organic awareness and of Fair Trade label credibility problems (Year 3) led me to choose organic rather than Fair Trade beans. In Level 3, news of credible Fair Trade labels in Mature Markets led me

to choose both; a replay of Year 1 showed Fair Trade + organic sold 5.6% more than organic alone and earned $46,938 more that year.

- **Competitive.** Competitor salaries rose from $24,000 to $28,000 over the five years, so I raised wages each year to keep a lead. When an international chain launched an organic Fair Trade brand in Level 2 Year 4, my organic sales advantage held steady at about 3–4%, suggesting that being established first protected the position.

The overall lesson matches the game's fourth learning objective: the same news can help one business and hurt another. The Year 2 disruption hurt the City Centre store, which fell $29,601 behind the Suburb store that year, while the Year 3 suburb violence helped City evenings, which pulled $50,255 ahead (Figure 2).

Figure 2. Operating profit by year in the three Level 1 locations (identical news in every run)



Source: my Coffee Shop Inc. result screens (Sim Institute, n.d.-a), compiled in my run logs.

Question 3: Enhancing Employee and Customer Satisfaction

Direct answer. Pay a modest premium over competitors, keep training at the level that maintains service, price fairly relative to the market, and improve the product. Satisfaction is a means to profit, not an end, so each action should be tested against what it adds to sales.

The game models the service-profit chain: satisfied employees produce satisfied customers, who produce sales and profit (Heskett et al., 1994; Sim Institute, n.d.-b). My runs showed where this chain can be strengthened and where extra spending stops paying.

3.1 Employee satisfaction

- **Pay above the market, but only slightly.** A salary $2,000 above competitors kept employees at 5 stars every year. In Level 1 Run 4, a $1,000 lead in Years 4–5 also kept 5

stars and added $14,359 to profit. During a recession, with unemployment rising, a smaller lead was enough.

- **Keep training at $1,500 per employee.** Cutting training to the competitor level of $1,000 in Level 1 Run 5 did not reduce the star ratings, but drinks fell from 430 to 419 a day and profit fell by $6,888. Raising training to $2,500 in the Suburb added nothing measurable.
- **Recruit to grow, not to hold headcount.** In Level 2 Run 3 I added one job and kept it for five years to test the "people" goal. Customers rose to 5 stars and sales rose 4.5%, but only in the year of hiring. From Year 2 onwards demand was identical to the run without the job, so the extra job cost $122,794 over five years.

3.2 Customer satisfaction

- **Price relative to competitors.** In Level 1, customers gave 5 stars only at price parity. A clean test in the Suburb (Year 3: only the premium changed, from 7.7% to 0%) moved customers from 4 to 5 stars.
- **Product quality.** Roasting and organic beans allowed 5 stars at a premium. In the Level 2 Suburb run, customers gave 5 stars at a 6.7–7.7% premium, where they had given 4 stars in Level 1. In Level 3, roasting lifted Mature customers from 4 to 5 stars at $3.50 in Year 1.
- **Opening hours where demand exists.** Evening opening served customers who wanted to meet after work; it added profit in the City Centre and, from Year 4, in the Suburb.

A higher star rating is not always worth having. In Level 1 the most profitable City strategy accepted 4-star customer ratings at a 7% premium in Years 3 and 5, because the extra margin outweighed the small loss of volume. The practical rule is to treat satisfaction ratings as leading indicators and to judge each action by its effect on sales and costs.

Question 4: How Results and Feedback Shaped Later Decisions

Direct answer. Feedback worked at two speeds. Within a run, each year's results and comments changed the next year's settings. Between runs, each result suggested a hypothesis that the next run tested by changing a single decision.

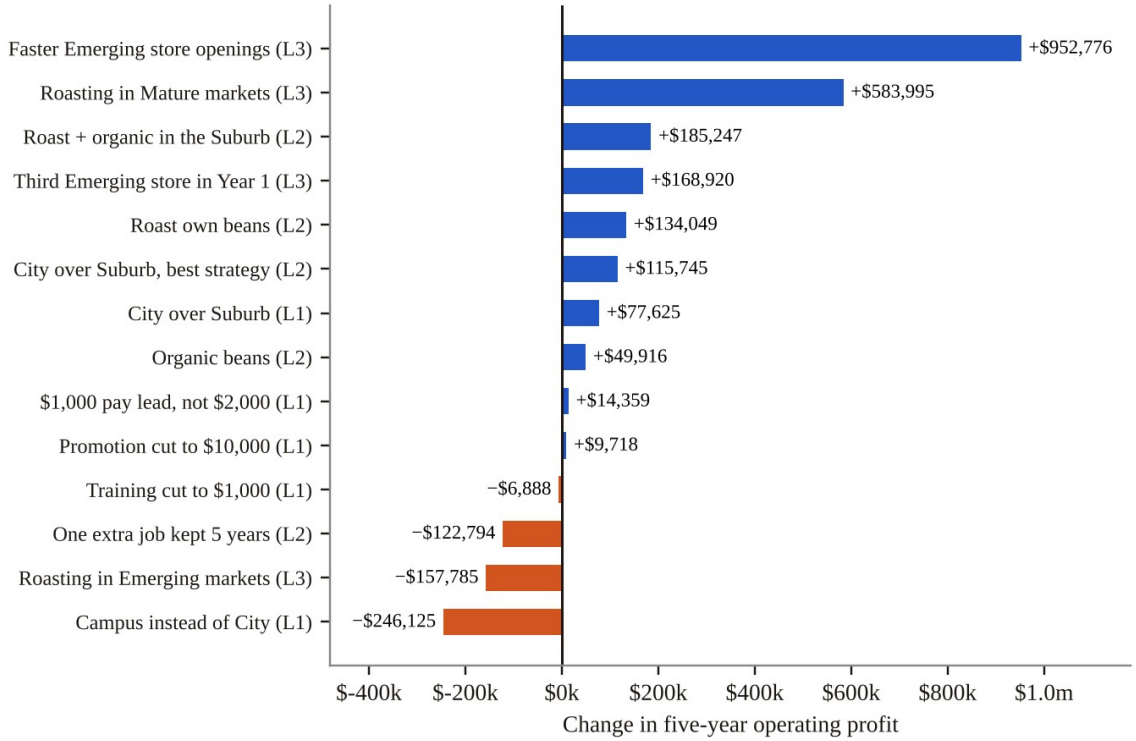
4.1 Within a run: year-to-year adjustment

- Level 1 Year 1 feedback warned that my prices were high compared with competitors. I narrowed the premium from 16.7% to 7.1% by Year 3, after which the warning disappeared.
- Year 2 feedback said I had missed the yearly target and told me to analyse results and the PESTLE news. I reopened evenings in Year 3, when the news showed night-time demand returning.
- Year 4 feedback ("coffee and service they want, at reasonable prices") confirmed that parity pricing was right in the recession.
- In Level 3 Run 1, Year 1 Emerging profit was only $34,238, so from Year 2 I stopped opening own stores there. Later results showed each own store's contribution rising from about $18,000 in Year 2 to about $107,800 in Year 5, which prompted the Run 2 test.
- The Level 3 Year 4 feedback ("only one year left… think carefully how many new shops") led me to stop opening Emerging own stores in Year 5, when they could no longer repay their opening cost.

4.2 Between runs: experiments

Figure 3 ranks the 14 controlled comparisons by their effect on five-year profit. Several of them came directly from earlier feedback. Run 1 of Level 3 suggested that Emerging stores were under-built, so Run 2 opened them faster. Run 2 showed that roasting added little in Emerging Markets, so Run 3 moved it to Mature Markets. Run 3's unit economics suggested one more store in Year 1 would pay, which Run 5 confirmed.

Figure 3. Effect of each single-decision change on five-year profit (14 controlled tests)



Source: my Coffee Shop Inc. result screens (Sim Institute, n.d.-a), compiled in my run logs. E4–E9 and E11–E14 change one decision only; the location tests E1–E3 and E10 also include small differences in other settings (Appendix B).

This approach reflects the difference between deliberate and emergent strategy (Mintzberg & Waters, 1985). The overall position (differentiation) stayed deliberate, while the details emerged from evidence. It also guarded against hindsight bias: the Level 3 Run 1 decision to stop Emerging stores was reasonable on Year 1 data; the lesson was to judge a growing market on expected future profit per store, not current profit.

Question 5: How KPIs and the Income Statement Support Decisions

Direct answer. The KPIs explain why results happened, and the income statement shows what each decision costs and earns. Used together they allow break-even calculations that the graphs and comments alone cannot provide.

The game describes its KPIs as the most important measures of how well the business is doing, combining non-financial indicators reported on the dashboard with financial indicators in the income statement (Sim Institute, n.d.-a). Table 4 shows how I used each.

Table 4. KPIs and income statement lines, and the decisions they informed

Measure	What it shows	Decision it informed
Employee and customer satisfaction (stars)	Leading indicators of future sales	Salary lead and price premium (Question 3)
Drinks per day, split day/evening	Where demand comes from and when	Evening opening: needs about 82 drinks a night to cover three extra staff; Suburb did 102 (+$21,200), Campus 63 (−$20,600)
Drinks per employee per day	Staff productivity	Suburb staff served 61–63 drinks a day vs 48–59 in the City; no need to add staff
Cost of goods sold per drink	Variable cost ($0.50–$0.60)	Contribution per drink for price and roasting decisions
Fixed costs (rent, salaries, admin)	Costs that do not change with volume	Break-even volume; which sites can carry rent
Operating profit by market (Level 3)	Profit contribution of each market	Where to roast; how fast to open stores
Franchise fees and royalties	Royalty = 5% of own-store revenue per store	Showed franchises earn from Year 1 with no capital

5.1 Three examples

- **Price rise break-even.** With a cost of $0.55 per drink, moving from $3.75 to $4.00 raises the margin from $3.20 to $3.45. The rise pays as long as volume falls by less than 1 − 3.20 ÷ 3.45 = 7.2%. In Level 1 Year 5 volume fell 5.5%, so the higher price earned more.
- **Why roasting paid.** Splitting the Level 2 income-statement differences showed that roasting added $194,237 from extra customers and $39,812 from cheaper cups, against $100,000 of depreciation. On cost savings alone, roasting would have lost about $60,000; it paid because it attracted customers.
- **Unit economics of a new store.** From the Level 3 market income statements I calculated each own store's contribution after rent, wages, training and roaster depreciation. In Emerging Markets this rose from about $18,000 in Year 2 to about $107,800 in Year 5, well above the $100,000 opening cost over a store's life. This was the evidence for opening stores faster (Question 9).

One limitation matters. Operating profit records a roaster only as $20,000 a year of depreciation, not the $100,000 cash outlay. On a cash basis, moving roasting to Mature Markets in Level 3 gained about $501,781 rather than $741,781 in profit terms. A real business would also look at cash flow and return on investment.

Question 6: Adapting Strategy to Different Locations

Direct answer. Each location needs a strategy that fits its customers. The City Centre suits a premium, long-hours differentiation strategy. The Suburb suits quality and personal service,

adding evenings only when it is safe and in demand. The Campus requires market pricing and tight costs. In Level 3, Mature and Emerging Markets needed different products and prices.

Table 5. How strategy and operations should differ by location (Level 1 evidence)

	City Centre	Suburb	University Campus
Rent / competition	$50,000 / high	$30,000 / medium	$15,000 / low (vending machines)
Customers	Professionals and shoppers; evening meet-ups	Want atmosphere, good coffee, personal service	Budget-conscious students
Best strategy	Broad differentiation	Focused differentiation	Focused cost leadership
Price	7% premium in good years; parity in recession	Premium possible with quality (roast + organic)	Market average every year
Opening hours	Day and evening (except Year 2)	Daytime, evenings from Year 4	Daytime only
Five-year profit	$740,214	$662,589	$494,089 (target missed)

Figure 2 (Question 2) shows the three locations year by year. With its best strategy, the City earned $263,858 (53%) more than the Campus over five years. The Campus had the lowest rent and 5-star customers every year, yet it was the only run to miss the target. Daytime demand was capped at about 300–330 drinks a day whatever I did, a Year 3 evening test lost about $20,600, and extra promotion added only two drinks a day. Low cost cannot overcome a small, price-sensitive market. The City Centre earned more than the Suburb mainly through evening trade, which was viable there in more years.

6.1 Five Forces: why the locations differed

Table 6. Porter's Five Forces in the three Level 1 locations

Force	City Centre	Suburb	University Campus
Rivalry among competitors	High: chains and specialty cafés concentrated in the centre	Medium	Low at first (vending machines only); a new campus coffee shop opened in Year 3
Threat of substitutes	Low: none reported	Low: none reported	High: two $1 vending machines in Year 2, five more in Year 5
Buyer power (price sensitivity)	Low to moderate: professionals willing to spend; more sensitive in the Year 4 recession	Moderate: will pay for atmosphere, service and locally roasted coffee	High: budget-conscious students
Supplier power	Moderate for every site: tariffs raised cup cost from $0.50 to $0.60; staff shortages pushed wages up in Year 2	Moderate (same)	Moderate (same)
Threat of new entrants	Moderate: shops open and close; specialty shops began roasting in Year 2 (Level 2)	Moderate	Moderate: no coffee shop at the university in Year 1, a new one in Year 3
Overall profit potential	**Highest: large market with evening demand; buyers accept a premium**	**Medium**	**Lowest: substitutes and buyers cap the price**

Ratings are my assessment from the game's News pages and location descriptions; the game gives qualitative information, not market data.

Read through Porter's Five Forces (Porter, 2008; Gamble et al., 2015, ch. 3), the Campus result was predictable before I played it. Low rivalry and low rent looked attractive, but $1 vending machines and price-sensitive students set a ceiling on price, so the run sold at the market average every year and still earned the least. The City Centre had the fiercest rivalry yet the highest profit, because buyers there were willing to pay for quality and evening trade enlarged the market. Two lessons follow. An industry's attractiveness depends on all five forces, not on rivalry alone. And the forces point to the strategy: differentiate where buyer power is low, and control costs tightly where substitutes and buyers cap prices.

The same lens applied in Level 3. From Year 2 the news reported international chains "expanding aggressively" in Emerging Markets: rising rivalry and new entrants. That was a further argument for opening stores early, before rivals took the best positions (Question 9).

Location also changed the value of differentiation. Using the same roast-and-organic strategy, the Suburb gained more in relative terms than the City: sales rose 12.9% compared with the Level 1 Suburb run, and customers gave 5 stars at a premium, consistent with the Year 2 news

that suburban customers pay more for locally roasted coffee. However, the City still produced the highest absolute profit ($963,581 against $847,836). Location sets the ceiling; strategy fit decides how close the business gets to it.

In Level 3 the same logic applied between markets. Mature Markets suited Fair Trade + organic coffee, roasting and a premium price. Emerging Markets suited ordinary beans, prices that rose with incomes ($2.00 to $3.00), heavier promotion once social-media use took off in Year 3 (from $20,000 to $40,000), and wages set for a lower-cost labour market ($16,000–$19,000 against $26,000–$27,000).

Question 7: Considerations in Coffee Roasting (Vertical Integration)

Direct answer. Roast your own beans only where enough customers value the result to cover the investment over the remaining years. In my runs roasting paid as a source of differentiation, not as a cost saving, so the decisive factor was the customer segment.

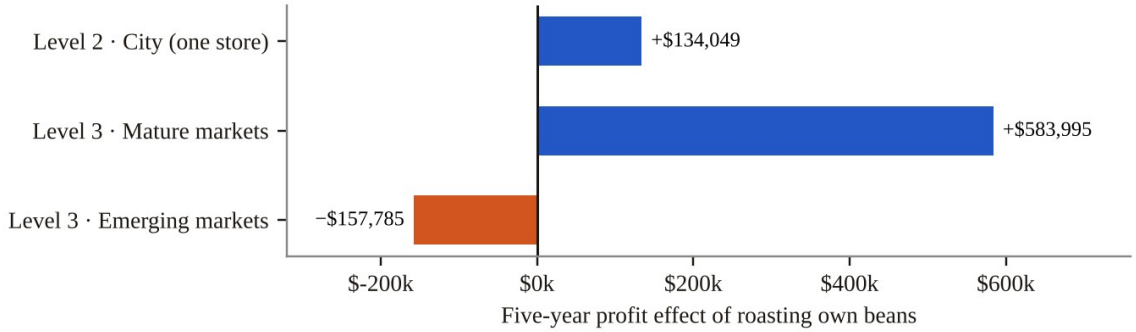
Vertical integration means taking over an activity that a supplier used to perform (Gamble et al., 2015, ch. 6). The game's glossary notes that in-house roasting "only makes sense if you have sufficient volume to justify the cost", and that it also lets a shop roast beans the way its customers like (Sim Institute, n.d.-a). My runs tested both points.

7.1 Considerations

- **Investment and time horizon.** Each roaster costs $100,000 and is depreciated at $20,000 a year. A roaster bought late has fewer years to earn back its cost, and the decision cannot be reversed.
- **Cost saving and volume.** Roasting saves $0.05 per cup, so the saving grows with volume. At one store this was only $39,812 over five years, less than half the depreciation.
- **Customer value (differentiation).** The real gain comes from customers who prefer the coffee: 7–8% more drinks in the Level 2 City store, about 13% in the Suburb when combined with organic beans, and about 6% (19–20 more drinks per store per day) in Level 3 Mature Markets.
- **Segment fit.** Mature Market customers valued quality and sustainability; in Emerging Markets the news said bean type was not important, and roasting added only 2–4% to volume.

- **Control and capability.** Integration gives control over taste and supply when tariffs and unrest push bean prices up, but it ties up capital and management attention.
- **Cash versus profit.** Operating profit shows only depreciation; the cash outlay comes at the start (Question 5).

Figure 4. Five-year profit effect of roasting own beans in three settings



Source: my Coffee Shop Inc. result screens (Sim Institute, n.d.-a), compiled in my run logs. Level 2: Run 2 vs Run 1. Level 3: Run 3 vs Run 2, by market.

Figure 4 summarises the evidence. Roasting added $134,049 in the Level 2 City store and $583,995 in Level 3 Mature Markets, but reduced Emerging Market profit by $157,785. Roasting in both markets (Level 3 Run 4) gave $12,174,325, exactly Run 3's Mature result plus Run 2's Emerging result, confirming that the effect depended on the market. Interestingly, the Emerging loss shrank every year (from $46,316 in Year 3 to $7,176 in Year 5) as prices and volumes rose, so roasting there might pay in a longer game. This is the value-chain logic: an upstream activity creates value only if buyers value what it produces (Porter, 1985).

7.2 Was roasting a sustainable advantage? A VRIO test

Porter's value chain shows where roasting adds value; the VRIO test asks whether that value can last (Barney, 1995; Gamble et al., 2015, ch. 4). A resource gives a sustained competitive advantage only if it is valuable, rare, costly to imitate and supported by the organisation. Table 7 applies the test to roasting and to the other resources my strategy relied on.

Table 7. VRIO test of the main resources and capabilities

Resource or capability	Valuable?	Rare?	Costly to imitate?	Organised?	Result
In-house roasting (City; Mature Markets)	Yes: +$134,049 (Level 2); + $583,995 (Level 3 Mature)	At first: "most competitors buy roasted beans"; specialty shops began roasting in Year 2	No: any rival can buy a $100,000 roaster	Yes: own stores only; franchises cannot roast	**Temporary advantage**
In-house roasting (Emerging Markets)	No: −$157,785	–	–	–	**Disadvantage: do not roast**
Organic and Fair Trade sourcing	Yes: +$49,916 (Level 2); + $46,938 in Level 3 Year 1	Partly: only a small group interested at first	No: a chain launched an organic Fair Trade brand in Level 2 Year 4	Yes: applied in every store	**Temporary advantage**
Motivated, well-trained staff (5 stars)	Yes: drives customer satisfaction and sales	No: a $1,000–$2,000 pay lead is easy to match	No	Yes: pay and training set each year	**Parity: necessary, not distinctive**
Store network built early (Level 3)	Yes: franchises earned $6.45m before shared costs	Yes: openings capped at 13 per market a year	Yes: the cap means a late mover cannot catch up in five years	Yes: franchising plus own stores	**Sustained advantage (within the game)**

"Valuable" and "Organised" use my measured results; "Rare" and "Costly to imitate" use the game's competition news.

The test separates competitive advantage from sustainable competitive advantage. Roasting was valuable and, in Year 1, rare, but easy to copy, so it could only give a temporary advantage; the specialty shops that began roasting in Year 2 were the warning sign. The most durable advantage in my runs was not a product feature but the store network built early in Level 3. Because openings were capped each year, time itself was the barrier to imitation. This supports the pacing answer in Question 9. In a real business, roasting would last as an advantage only if combined with harder-to-copy assets, such as roasting know-how, brand reputation and a network of well-placed stores.

Question 8: Considerations in Choosing Organic or Fair Trade Coffee

Direct answer. Choose a certified bean where customers know about it, trust the label and will pay for it; check what competitors are doing; and weigh the extra cost per cup against the extra sales. In my runs organic beans served both the planet goal and profit.

8.1 Considerations

- **Customer awareness and willingness to pay.** Early news described only a small group interested in organic or Fair Trade coffee; awareness grew from Year 2. Mature Market customers were aware from the start of Level 3, while Emerging customers were not.
- **Label credibility.** A label is worth only as much as customers trust it. Level 2 Year 3 news reported Fair Trade credibility problems, so I chose organic. Level 3 news reported credible Fair Trade labels in Mature Markets, so I chose both.
- **Cost.** Each option adds $0.05 per cup. Over five years, organic beans cost about $44,388 at one store.
- **Competitors.** An international chain launched an organic Fair Trade brand in Level 2 Year 4. Being established first protected my advantage.
- **Fit with strategy and values.** Organic and Fair Trade support a differentiation strategy and the "planet" goal, and respond to Fair Trade's purpose of a fair price for farmers (Sim Institute, n.d.-a; Gamble et al., 2015, ch. 9).

8.2 Evidence

In Level 2, organic beans raised sales by 3.0–4.1% every year (3.6% overall) and added $49,916 to five-year profit. The extra contribution was about $94,300, roughly twice the bean cost. Customers gave 5 stars at a premium in Years 3 and 5, against 4 stars without organic beans. In Level 3 Year 1, Fair Trade + organic sold 5.6% more per Mature store than organic alone and earned $46,938 more that year. In Emerging Markets I kept ordinary beans because customers did not value the difference.

Not every triple-bottom-line goal was free. Organic beans served planet and profit together, but keeping an extra job for five years (the "people" test) cost $122,794 because the game rewards hiring only in the year it happens. Being honest about such trade-offs is part of a credible sustainability strategy (Elkington, 1997).

Question 9: The Appropriate Pace of New Store Openings in Level 3

Direct answer. Expand as fast as the game allows and as early as possible: the maximum ten franchises per market every year, and the maximum three own stores per market from Year 1 to Year 4. Stop opening own stores in a market once a new store can no longer earn back its $100,000 opening cost in the years left. Expect a dip in profit before the gain.

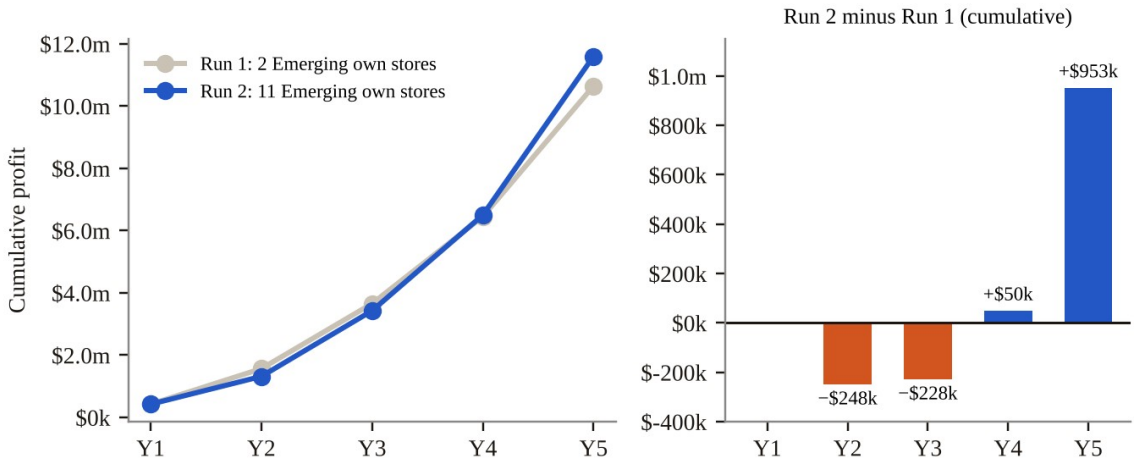
9.1 The economics of each type of store

A franchised store pays a $25,000 fee and a 5% royalty on its revenue, costs $5,000 a year to manage, and needs no capital. In the game it sells exactly what an own store sells, so a franchise earns money from its first year. In Level 3 Run 5, franchises contributed $6,450,117 before shared costs, about half of total profit. Franchising is a low-risk way to enter foreign markets, at the cost of control over how the brand is delivered (Gamble et al., 2015, ch. 7; Hitt et al., 2007).

An own store costs $100,000 to open, keeps all its revenue and pays all its costs. In Mature Markets even a Year 5 opening added about $65,700 in its first year. In Emerging Markets the contribution per store started low (about $18,000 in Year 2) but rose to about $107,800 by Year 5 as incomes, prices and volumes grew.

9.2 Evidence from the runs

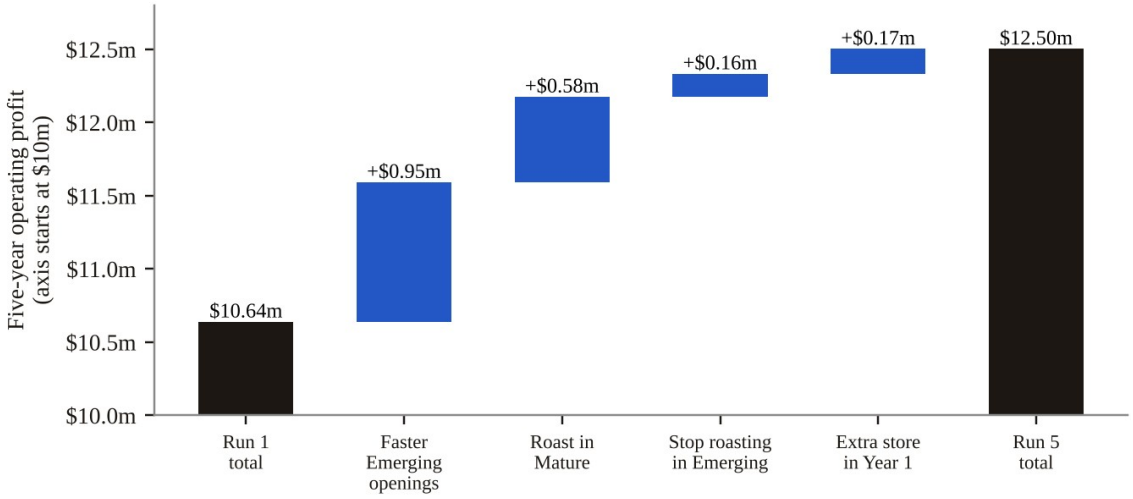
Figure 5. Opening Emerging own stores faster: cumulative profit, Level 3 Run 1 vs Run 2



Source: my Coffee Shop Inc. result screens (Sim Institute, n.d.-a), compiled in my run logs.

In Run 1 I opened only two Emerging own stores, because Year 1 profit there looked weak. Run 2 changed only that decision, opening three a year in Years 2–4 (11 stores). Profit followed a J-curve (Figure 5): Run 2 was $248,285 behind after Year 2 and $228,027 behind after Year 3, then overtook in Year 4 and finished $952,776 ahead. Run 5 added one more Emerging store in Year 1: profit fell $87,165 in that year, was level by the end of Year 3 (a gap of only $158), and finished $168,920 ahead. Drinks per store did not fall as stores were added (Year 5 revenue per Emerging store changed by only −0.1%), so there was no measurable cannibalisation.

Figure 6. How Level 3 profit grew from Run 1 to Run 5



Source: my Coffee Shop Inc. result screens (Sim Institute, n.d.-a), compiled in my run logs. Run 5 finished $1,863,477 (17.5%) above Run 1. Roasting in both markets (Run 4) was tested and reversed.

9.3 Recommended pacing rule

Table 8. Recommended pace of openings by year and market

Year	Mature Markets	Emerging Markets	Reason
1	3 own + 10 franchised	3 own + 10 franchised	Longest time to repay the opening cost
2–4	3 own + 10 franchised	3 own + 10 franchised	Unit contribution rising; no cannibalisation
5	3 own + 10 franchised	0 own + 10 franchised	A Mature store still repays in-year; an Emerging one does not

The strongest counterargument is risk. In a real chain, opening 26 stores a year needs capital, managers and quality control that the game does not model, and an Emerging Market crisis (as in the Year 3 news) could leave new stores unprofitable for longer. Two things would change my recommendation: evidence that sales per store fall as stores are added, or a cash or management limit on growth. In that case I would keep franchising at the maximum and slow own-store openings first, starting with the market where unit contribution is lowest.

Conclusion and Reflection

Conclusion

The question behind all 15 runs was what creates profitable growth in a coffee business. My evidence points to three principles. First, choose the market before the tactics: location and market type set the ceiling on profit, and no amount of good management lifted the Campus store to its target. Second, differentiate only where customers will pay for it: quality investments such as roasting and organic beans earned money by attracting customers, so they paid in the City and in Mature Markets but not in Emerging Markets. Third, grow early and fast when each new store will earn back its cost: in Level 3 the fastest expansion the game allowed was also the most profitable, despite a two-year dip.

Measured against my "people, planet and profit" intent, planet and profit pulled in the same direction, because organic and Fair Trade coffee raised sales by more than they cost. People and profit did not: keeping one extra job for five years cost $122,794. A sustainable strategy has to make that trade-off openly rather than assume all three goals always align.

What the simulation demonstrated

Table 9. The five learning objectives and the evidence from my runs

Learning objective	What my runs showed	Key evidence
1. Success needs a clear strategy and sound decisions	A consistent differentiation strategy beat the target in 14 of 15 runs; the best results came from tested, not guessed, changes	Best runs: 152%, 193%, 250% of target
2. Different strategies can succeed if they fit the customers	Differentiation worked in the City and Suburb; a cost focus failed on the Campus, where substitutes and price-sensitive students capped prices	City $740,214; Suburb $662,589; Campus $494,089
3. Employee satisfaction drives customer satisfaction and sales	True, but returns fell quickly once staff were at 5 stars	Training cut: −$6,888; extra job: −$122,794
4. The environment changes the right decision	Matching rivals in the recession and charging more in the recovery both raised profit	Recession: drinks +6.5%; recovery: +14% price for −5% volume
5. Business concepts improve performance	Five Forces explained the Campus result; VRIO showed why roasting was a temporary advantage; vertical integration paid only where valued	Roasting: +$583,995 Mature, −$157,785 Emerging

Reflection: where my judgement was wrong

The runs also exposed my own mistakes, and these taught me as much as the successes.

- **Stopping too early in a growing market.** In Level 3 Run 1, Emerging Market profit was only $34,238 in Year 1, so I stopped opening own stores there. I judged an investment on

its first-year profit instead of its future earnings. Opening them anyway (Run 2) was worth $952,776. Weak early results in a fast-growing market are not a reason to stop.

- **Testing in the wrong place.** On the Campus I tested evening opening in Year 3 and lost about $20,600. Without that test the run would have reached the target, which it missed by $5,911. A test should be run where the potential gain justifies the risk.
- **Reacting to news without measuring it.** I closed City evenings during the Year 2 construction. Level 2, where that news did not appear, suggests the closure may have cost up to $15,325. I acted on a headline without estimating its size.
- **Over-trusting a hypothesis.** In Level 1 I expected a small price premium to win 5-star customer ratings; only exact price parity did. Writing hypotheses down, and checking them against the results, stopped me repeating the mistake.

What I would do differently, and what it means for real management

- **Calculate the break-even before deciding.** Simple thresholds, such as the 7.2% volume fall that a price rise can absorb or the roughly 82 evening drinks needed to cover extra staff, would have prevented the Campus evening loss.
- **Change one thing at a time, and keep a decision log.** This turned trial and error into evidence. A real business can do the same with pilot stores and test markets before rolling out a change.
- **Judge growth on future unit economics and cash, not current profit.** An investment that looks weak in Year 1 can be the best decision in the plan; equally, operating profit hides the cash a roaster or store needs up front.
- **Build advantages that are hard to copy.** Roasting and organic beans were copied by competitors; the store network built early was not. In a real chain, brand, locations and know-how matter more than any single product feature.

Limitations

The game is deterministic and simplified. Real customers, competitors, franchisees and managers are less predictable, and growth of 26 stores a year would need capital and people that the game does not model. Some Level 1 effects were confounded before I adopted one-change testing. My Five Forces and VRIO ratings rely on the game's qualitative news rather than market data. The conclusions are therefore strongest as principles for decision-making, not as forecasts for a real coffee business.

References

Barney, J. B. (1995). Looking inside for competitive advantage. *Academy of Management Executive, 9*(4), 49–61. https://doi.org/10.5465/ame.1995.9512032192

Elkington, J. (1997). *Cannibals with forks: The triple bottom line of 21st century business*. Capstone.

Gamble, J. E., Thompson, A. A., Jr., & Peteraf, M. A. (2015). *Essentials of strategic management: The quest for competitive advantage* (4th ed.). McGraw-Hill Education.

Heskett, J. L., Jones, T. O., Loveman, G. W., Sasser, W. E., Jr., & Schlesinger, L. A. (1994). Putting the service-profit chain to work. *Harvard Business Review, 72*(2), 164–174.

Hitt, M. A., Ireland, R. D., & Hoskisson, R. E. (2007). *Strategic management: Competitiveness and globalization: Concepts and cases* (7th ed.). Thomson South-Western.

Mintzberg, H., & Waters, J. A. (1985). Of strategies, deliberate and emergent. *Strategic Management Journal, 6*(3), 257–272. https://doi.org/10.1002/smj.4250060306

Porter, M. E. (1985). *Competitive advantage: Creating and sustaining superior performance*. Free Press.

Porter, M. E. (2008). The five competitive forces that shape strategy. *Harvard Business Review, 86*(1), 78–93. https://store.hbr.org/product/the-five-competitive-forces-that-shape-strategy/R0801E

Sim Institute. (n.d.-a). *Coffee Shop Inc.: Glossary* [Simulation documentation]. Harvard Business Publishing.

Sim Institute. (n.d.-b). *Business essentials simulation: Coffee Shop Inc.* [Online simulation]. Harvard Business Publishing. https://www.siminstitute.com/coffee-shop-inc

Appendix A. Results of All 15 Runs

Run	Location / market	What was tested	Five-year profit	% of target
L1 R1	City Centre	Premium price, evenings open	$740,214	148%
L1 R2	Suburb	Focused differentiation	$662,589	133%
L1 R3	University Campus	Low price, lean costs	$494,089	99%
L1 R4	City Centre	Run 1 with a $1,000 pay lead in Years 4–5	$754,573	151%
L1 R5	City Centre	Run 4 with training and promotion tests	**$757,947**	**152%**
L2 R1	City Centre	Baseline: buy roasted, ordinary beans	$779,616	156%
L2 R2	City Centre	Roast own beans	$913,665	183%
L2 R3	City Centre	Roast + one extra job kept 5 years	$790,871	158%
L2 R4	City Centre	Roast + organic beans	**$963,581**	**193%**
L2 R5	Suburb	Roast + organic in the Suburb	$847,836	170%
L3 R1	Mature + Emerging	Roast in Emerging; 2 Emerging own stores	$10,637,554	213%
L3 R2	Mature + Emerging	Run 1 with faster Emerging openings	$11,590,330	232%
L3 R3	Mature + Emerging	Run 2 with roasting moved to Mature	$12,332,111	247%
L3 R4	Mature + Emerging	Run 2 with roasting in both markets	$12,174,325	243%
L3 R5	Mature + Emerging	Run 3 with a third Emerging store in Year 1	**$12,501,031**	**250%**

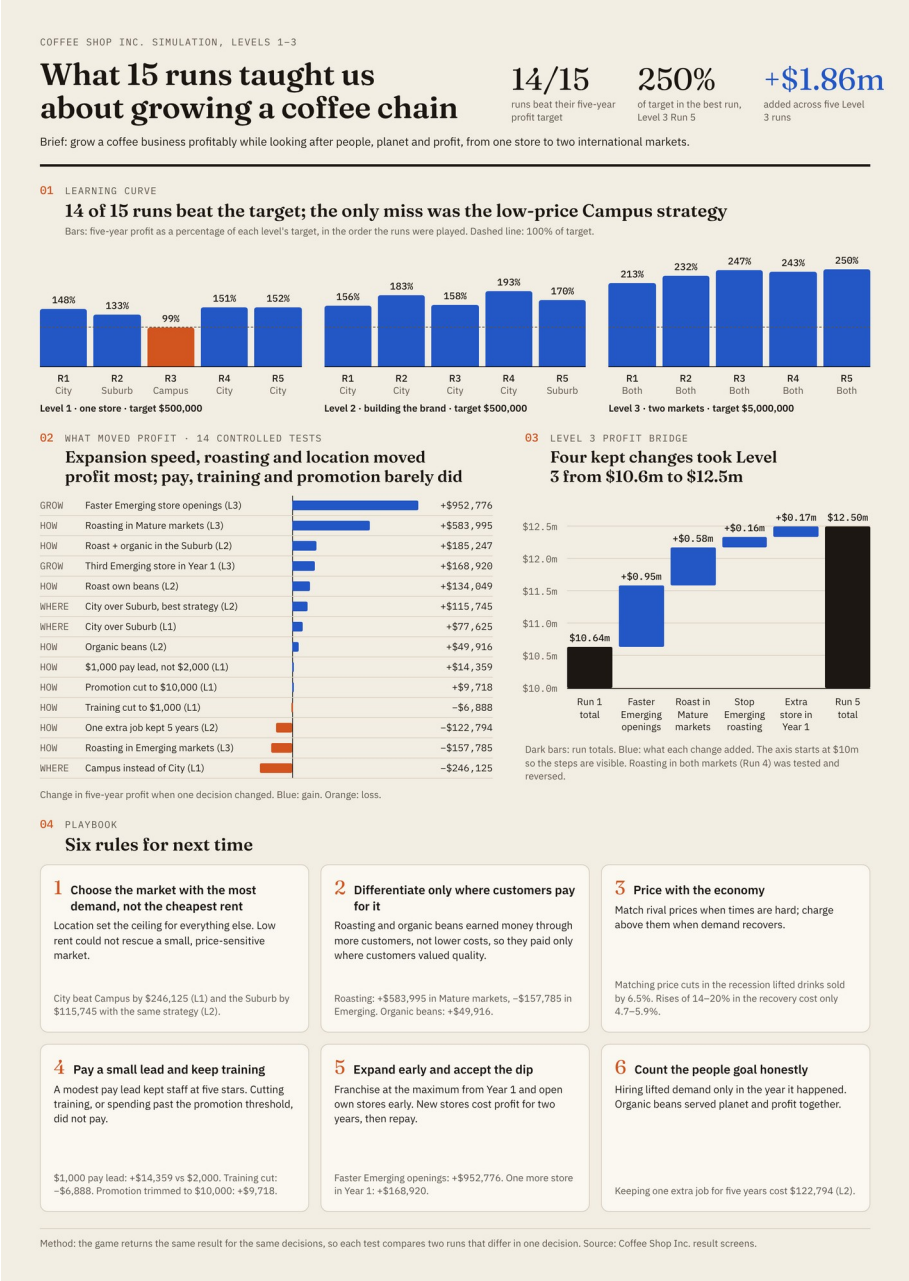
Targets: $500,000 in Levels 1 and 2; $5,000,000 in Level 3. Best run in each level in bold.

Appendix B. The 14 Controlled Comparisons

ID	Decision changed	Runs compared	Profit effect	Conclusion
E1	City vs Suburb	L1 R1 − L1 R2	+$77,625	City earns more from evening trade and a larger market
E2	Campus vs City	L1 R3 − L1 R1	−$246,125	Low rent cannot offset a small, price-sensitive market
E3	City vs Suburb, best strategy	L2 R4 − L2 R5	+$115,745	Location sets the ceiling
E4	Pay lead $1,000 instead of $2,000	L1 R4 − L1 R1 (Y4–5)	+$14,359	A $1,000 lead keeps staff at 5 stars
E5	Training $1,000 instead of $1,500	L1 R5 − L1 R4 (Y1)	−$6,888	Sales fall by more than the saving
E6	Promotion $10,000 instead of $15,000	L1 R5 − L1 R4 (Y4–5)	+$9,718	Sales unchanged; the extra spend was wasted
E7	Roast own beans	L2 R2 − L2 R1	+$134,049	Pays through more customers, not lower cost
E8	Organic beans	L2 R4 − L2 R2	+$49,916	Returns about twice its cost
E9	One extra job kept 5 years	L2 R3 − L2 R2	−$122,794	Demand rises only in the hiring year
E10	Roast + organic in the Suburb	L2 R5 − L1 R2	+$185,247	Larger lift in the Suburb (incl. HR settings)
E11	Roasting in Mature Markets	L3 R3 − L3 R2 (Mat.)	+$583,995	About 20 more drinks per store per day
E12	Roasting in Emerging Markets	L3 R2 − L3 R3 (Em.)	−$157,785	Small lift does not cover depreciation
E13	Faster Emerging store openings	L3 R2 − L3 R1	+$952,776	Profit dips for two years, then overtakes
E14	One more Emerging store in Year 1	L3 R5 − L3 R3	+$168,920	Level by Year 3, ahead afterwards

Appendix C. Strategy Poster

The poster summarises the report on one page: the learning curve across all 15 runs, the ranked results of the controlled tests, the Level 3 profit bridge and six rules for future play. It was designed for A3 and is reduced here to fit the page.



Source: my Coffee Shop Inc. result screens (Sim Institute, n.d.-a), compiled in my run logs.

Interactive version: scan the code or click the link
https://shab-analytics.github.io/coffee-strategy-dashboard/